National Bank

The Board of Directors of National Bank of Kenya Limited hereby announce the un-audited results for the period ended 30 June 2019

I. STATEMENT OF FINANCIAL POSITION
As at 30 June 2019

		BANK 30-Jun-18 Shs'000 Un-Audited	BANK 31-Dec-18 Shs'000 Audited	BANK 31-Mar-19 Shs'000 Un-Audited	BANK 30-Jun-19 Shs'000 Un-Audited	GROUP 30-Jun-18 Shs'000 Un-Audited	GROUP 31-Dec-18 Shs'000 Audited	GROUP 31-Mar-19 Shs'000 Un-Audited	GROUP 30-Jun-19 Shs'000 Un-Audited
A	**ASSETS**								
1	Cash (both Local & Foreign)	1,397,596	1,744,785	1,128,849	1,040,460	1,397,596	1,744,785	1,128,849	1,040,460
2	Balances due from Central Bank of Kenya	7,595,481	4,372,926	3,619,594	15,966,321	7,595,481	4,372,926	3,619,594	15,966,321
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	**Investment Securities:(a+b)**	**41,301,855**	**46,310,604**	**39,018,080**	**34,043,729**	**41,311,935**	**46,341,772**	**39,050,231**	**34,077,392**
	a) Held to Maturity:(i+ii)	**19,433,486**	**18,178,199**	**18,410,400**	**17,904,188**	**19,426,117**	**18,178,199**	**18,420,001**	**17,910,127**
	i. Kenya Government securities	19,433,486	18,178,199	18,410,400	17,904,188	19,426,117	18,178,199	18,420,001	17,910,127
	ii. Other securities	-	-	-	-	-	-	-	-
	b) Available for sale:(i+ii)	**21,868,369**	**28,132,405**	**20,607,680**	**16,139,541**	**21,885,818**	**28,163,573**	**20,630,230**	**16,167,265**
	i. Kenya Government securities	21,868,369	28,132,405	20,607,680	16,139,541	21,885,818	28,163,573	20,630,230	16,167,265
	ii. Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	1,880,331	1,936,693	1,341,684	2,687,208	1,880,331	1,936,693	1,341,684	2,687,208
7	Deposits and balances due from banking institutions abroad	840,121	131,527	302,595	395,728	840,121	131,527	302,595	395,728
8	Tax recoverable	479,803	463,362	458,370	458,685	466,079	459,476	435,948	441,568
9	Loans and advances to customers (net)	47,815,704	47,778,777	45,925,331	47,332,487	47,815,704	47,778,777	45,925,331	47,332,487
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	374,933	366,822	426,420	474,569	374,933	366,822	426,420	474,569
12	Investments in subsidiary companies	19,322	19,963	19,963	19,963	-	-	-	-
13	Investments in joint ventures	-	-	-	-	-	-	-	-
14	Investment properties	-	-	-	-	-	-	-	-
15	Property and equipment	3,516,911	3,998,390	4,531,514	4,367,117	3,518,652	3,998,833	4,531,354	4,367,515
16	Prepaid lease rentals	-	-	-	-	-	-	-	-
17	Intangible assets	1,256,824	1,300,050	1,321,193	1,241,539	1,256,824	1,314,221	1,335,364	1,255,710
18	Deferred tax asset	1,973,554	2,289,527	2,190,256	2,198,433	1,973,736	2,290,168	2,190,417	2,200,664
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	5,117,124	4,430,017	4,781,418	4,696,079	4,910,061	4,113,105	4,454,377	4,355,896
21	**TOTAL ASSETS**	**113,569,560**	**115,143,443**	**105,065,267**	**114,922,318**	**113,341,453**	**114,849,105**	**104,742,164**	**114,595,518**
B	**LIABILITIES**								
22	Balances due to Central Bank of Kenya	1,997,400	-	-	7,448,550	1,997,400	-	-	7,448,550
23	Customer deposits	96,322,828	99,223,459	89,520,567	91,771,954	95,990,899	98,865,959	89,101,230	91,331,602
24	Deposits and balances due to local banking institutions	4,035,049	3,446,015	3,282,329	3,606,812	4,035,049	3,446,015	3,282,329	3,606,812
25	Deposits and balances due to foreign banking institutions	2,798,562	2,574,715	2,228,356	1,518,028	2,801,562	2,574,715	2,228,356	1,518,028
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	-	-	-	-	-	-	-	-
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	-	-	-	-
30	Dividends payable	24,260	24,315	24,315	24,315	24,260	24,315	24,315	24,315
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	2,601,221	2,939,221	2,861,270	3,308,785	2,642,973	2,965,247	2,880,279	3,342,117
34	**TOTAL LIABILITIES**	**107,779,320**	**108,207,725**	**97,916,837**	**107,678,444**	**107,492,143**	**107,876,251**	**97,516,509**	**107,271,424**
C	**SHAREHOLDERS' FUNDS**								
35	Paid up /Assigned capital	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906	7,368,906
36	Share premium/(discount)	-	-	-	-	-	-	-	-
37	Revaluation reserves	659,443	1,261,907	1,256,148	1,250,390	659,443	1,261,906	1,256,148	1,250,390
38	Retained earnings/Accumulated losses	(4,935,548)	(4,892,016)	(5,100,120)	(5,913,102)	(4,876,719)	(4,854,776)	(5,022,792)	(5,833,561)
39	Statutory loan loss reserves	3,450,384	3,333,324	3,595,944	4,456,204	3,450,384	3,333,324	3,595,944	4,456,204
40	Other Reserves	(752,945)	(136,403)	27,552	81,476	(752,704)	(136,506)	27,449	82,155
41	Proposed dividends	-	-	-	-	-	-	-	-
42	Capital grants	-	-	-	-	-	-	-	-
43	**TOTAL SHAREHOLDERS' FUNDS**	**5,790,240**	**6,935,718**	**7,148,430**	**7,243,874**	**5,849,310**	**6,972,854**	**7,225,655**	**7,324,094**
44	**TOTAL LIABILITIES & SHAREHOLDERS' FUNDS**	**113,569,560**	**115,143,443**	**105,065,267**	**114,922,318**	**113,341,453**	**114,849,105**	**104,742,164**	**114,595,518**

II. STATEMENT OF COMPREHENSIVE INCOME
For the period ended 30 June 2019

		BANK 30-Jun-18 Shs'000 Un-Audited	BANK 31-Dec-18 Shs'000 Audited	BANK 31-Mar-19 Shs'000 Un-Audited	BANK 30-Jun-19 Shs'000 Un-Audited	GROUP 30-Jun-18 Shs'000 Un-Audited	GROUP 31-Dec-18 Shs'000 Audited	GROUP 31-Mar-19 Shs'000 Un-Audited	GROUP 30-Jun-19 Shs'000 Un-Audited
1	**Interest Income**								
1.1	Loans and advances	2,096,533	4,427,606	1,169,496	2,195,733	2,096,686	4,427,606	1,169,496	2,195,733
1.2	Government securities	1,983,281	4,431,954	1,178,895	2,209,500	1,983,281	4,432,457	1,179,879	2,211,027
1.3	Deposits and placements with banking institutions	42,496	52,829	8,286	18,190	42,496	52,829	8,286	18,190
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	**Total interest income**	**4,122,310**	**8,912,389**	**2,356,677**	**4,423,423**	**4,122,463**	**8,912,892**	**2,357,661**	**4,424,950**
2	**Interest Expense**								
2.1	Customer deposits	1,370,345	2,589,995	611,944	1,208,346	1,359,987	2,565,274	604,464	1,194,399
2.2	Deposits and placements from banking institutions	153,935	319,688	28,165	101,270	153,935	319,688	28,165	101,270
2.3	Other interest expenses	-	-	-	-	-	-	-	-
2.4	**Total Interest Expenses**	**1,524,280**	**2,909,683**	**640,109**	**1,309,616**	**1,513,922**	**2,884,962**	**632,629**	**1,295,669**
3	**NET INTEREST INCOME**	**2,598,030**	**6,002,706**	**1,716,568**	**3,113,807**	**2,608,541**	**6,027,930**	**1,725,032**	**3,129,281**
4	**Non-Interest Income**								
4.1	Fees and commissions on loans and advances	37,607	38,964	2,056	62,831	37,607	38,964	2,056	62,831
4.2	Other fees and commissions	586,063	1,147,540	287,362	564,764	619,993	1,190,202	287,362	564,764
4.3	Foreign exchange trading income (loss)	284,978	601,114	145,644	241,476	284,978	601,114	145,644	241,476
4.4	Dividend Income	170,000	162,867	-	-	-	1,367	-	-
4.5	Other Income	111,972	168,601	48,629	(142,933)	111,972	159,297	66,605	(116,662)
4.6	**TOTAL NON-INTEREST INCOME**	**1,190,620**	**2,119,086**	**483,691**	**726,138**	**1,054,550**	**1,990,944**	**501,667**	**752,409**
5	**TOTAL OPERATING INCOME**	**3,788,650**	**8,121,792**	**2,200,259**	**3,839,945**	**3,663,091**	**8,018,874**	**2,226,699**	**3,881,690**
6	**Other Operating Expenses**								
6.1	Loan loss provision	(47,873)	185,099	357,097	98,269	(47,873)	185,099	357,097	98,269
6.2	Staff costs	1,896,044	3,855,823	997,115	2,072,847	1,888,971	3,864,570	974,137	2,069,920
6.3	Directors' emoluments	23,811	28,535	9,721	17,745	23,811	28,535	9,721	17,745
6.4	Rental charges	204,180	443,186	61,903	99,535	204,180	443,714	61,938	99,675
6.5	Depreciation charge on property and equipment	269,605	549,430	176,490	380,901	269,481	549,616	176,515	380,949
6.6	Amortisation charges	195,605	475,506	89,553	194,920	195,605	475,506	89,553	194,920
6.7	Other operating expenses	985,120	1,996,711	408,334	860,641	969,488	2,015,483	400,195	844,855
6.8	**TOTAL OPERATING EXPENSES**	**3,526,492**	**7,534,290**	**2,100,213**	**3,724,858**	**3,503,663**	**7,562,523**	**2,069,156**	**3,706,333**
7	**PROFIT BEFORE TAX AND EXCEPTIONAL ITEMS**	**262,158**	**587,502**	**100,046**	**115,087**	**159,428**	**456,351**	**157,543**	**175,357**
8	Exceptional items	528,607	536,587	-	-	533,272	541,252	-	-
9	**Profit after exceptional items**	**(266,449)**	**50,915**	**100,046**	**115,087**	**(373,844)**	**(84,901)**	**157,543**	**175,357**
10	Current tax	(121)	(39,881)	(4,795)	(9,633)	(20,266)	(53,611)	(22,140)	(28,515)
11	Deferred tax	111,373	145,105	(29,000)	2,316	111,373	145,520	(29,065)	3,228
12	**Profit after tax and exceptional items**	**(155,197)**	**156,139**	**66,251**	**107,770**	**(282,737)**	**7,008**	**106,338**	**150,070**
13	Minority interest	-	-	-	-	-	-	-	-
14	**Profit after tax, exceptional items and minority interest**	**(155,197)**	**156,139**	**66,251**	**107,770**	**(282,737)**	**7,008**	**106,338**	**150,070**
15	**Other Comprehensive Income**								
15.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
15.2	Fair value changes in available for sale financial assets	(680,165)	(8,235)	234,227	311,254	(679,924)	(8,383)	234,228	312,374
15.3	Revaluation surplus on Property,plant and equipment	-	695,867	-	-	-	695,867	-	-
15.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
15.5	Income tax relating to components of other comprehensive income	60,048	(89,107)	(70,273)	(93,376)	60,048	(89,063)	(70,273)	(93,712)
16	**Other Comprehensive Income for the year net of tax**	**(620,117)**	**598,525**	**163,954**	**217,878**	**(619,876)**	**598,421**	**163,955**	**218,662**
17	**TOTAL COMPREHENSIVE INCOME FOR THE YEAR**	**(775,314)**	**754,664**	**230,205**	**325,648**	**(902,613)**	**605,429**	**270,293**	**368,732**

III. OTHER DISCLOSURES

		BANK 30-Jun-18 Shs'000 Un-Audited	BANK 31-Dec-18 Shs'000 Audited	BANK 31-Mar-19 Shs'000 Un-Audited	BANK 30-Jun-19 Shs'000 Un-Audited
1	**Non-performing loans and advances**				
a	Gross non-performing loans and advances	30,143,893	31,461,391	31,480,900	32,410,269
b	Less: Interest in suspense	4,155,894	4,468,241	4,524,488	4,921,259
c	**Total Non-performing loans and advances (a-b)**	**25,987,999**	**26,993,150**	**26,956,412**	**27,489,010**
d	Less: Loan loss Provisions	13,114,296	13,875,801	14,452,406	15,124,451
e	**Net NPLs exposure (c-d)**	**12,873,703**	**13,117,349**	**12,504,006**	**12,364,559**
f	Discounted Value of Securities	12,266,911	12,148,568	11,796,427	11,627,745
g	**Net NPLs exposure (e-f)**	**606,792**	**968,781**	**707,579**	**736,814**
2	**Insider loans and Advances**				
a	Directors, Shareholders and associates	26,495	39,144	37,219	35,311
b	Employees	4,869,686	5,155,000	5,281,345	5,321,865
c	**Total insider loans, advances and other facilities**	**4,896,181**	**5,194,144**	**5,318,564**	**5,357,176**
3	**Off-Balance sheet items**				
a	Letters of credit, guarantees and acceptances	8,145,277	5,285,441	5,246,336	6,043,674
b	Forwards, swaps and options	473,863	357,391	1,236,082	1,247,567
c	Other contingent liabilities	-	-	-	-
d	**Total contingent liabilities**	**8,619,140**	**5,642,832**	**6,482,418**	**7,291,241**
4	**Capital Strength**				
a	**Core capital**	**1,738,391**	**2,091,915**	**2,024,567**	**1,243,932**
b	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000
c	**Excess/(Deficiency) (a-b)**	**738,391**	**1,091,915**	**1,024,567**	**243,932**
d	Supplementary capital	1,271,177	1,327,239	1,245,406	1,206,558
e	**Total capital (a+d)**	**3,009,568**	**3,419,154**	**3,269,973**	**2,450,489**
f	**Total risk weighted assets**	**88,505,301**	**92,765,531**	**86,218,929**	**83,111,042**
g	**Core capital/total deposit liabilities**	**1.8%**	**2.1%**	**2.2%**	**1.3%**
h	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%
i	Excess/(Deficiency) (g-h)	-6.2%	-5.9%	-5.8%	-6.7%
j	**Core capital/total risk weighted assets**	**2.0%**	**2.3%**	**2.4%**	**1.5%**
k	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%
l	Excess/(Deficiency) (j-k)	-8.5%	-8.2%	-8.1%	-9.0%
m	**Total capital/total risk weighted assets**	**3.4%**	**3.7%**	**3.8%**	**2.9%**
n	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%
o	Excess/(Deficiency)(m-n)	-11.1%	-10.8%	-10.7%	-11.6%
p	**Adjusted core capital/total deposit liabilities***	**2.2%**	**2.8%**	**3.1%**	**1.8%**
q	**Adjusted core capital/total risk weighted assets***	**2.4%**	**3.1%**	**3.3%**	**2.0%**
r	**Adjusted total capital/total risk weighted assets***	**3.9%**	**4.5%**	**4.7%**	**3.4%**
5	**Liquidity**				
a	**Liquidity Ratio**	**39.9%**	**43.1%**	**40.4%**	**40.7%**
b	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%
c	Excess/(Deficiency)(a-b)	19.9%	23.1%	20.4%	20.7%

NOTES

*The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with the CBK Guidance Note issued in April 2018 on implementation of IFRS 9

APPROVAL

The unaudited financial statements are extracts of the financial statements and records of the Bank which were approved by the Board of Directors on 27th August 2019 and signed on its behalf by:

M.A. Hassan - Chairman, Board of Directors
J. Nzomo - Chairman, Board Audit Committee
W. Musau - Managing Director & CEO
H. Waswani - Company Secretary

The complete set of financial statements, statutory and qualitative disclosures can be accessed on the Bank's website www.nationalbank.co.ke.

They may also be accessed at the Bank's registered office listed hereunder.

REGISTERED OFFICE

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Taking your business to the next level.

The National Bank Business Club gives you the opportunity to connect with businesses and industries that could be mutually rewarding.

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NATIONAL BANK OF KENYA LIMITED
GROUP STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2019

	Share capital KSh' 000	Property revaluation surplus KSh' 000	Retained earnings KSh' 000	Statutory reserve KSh' 000	Fair value reserve KSh' 000	Total KSh' 000
At 1 January 2018	7,368,906	670,678	(3,525,502)	2,852,654	(132,828)	7,233,908
Impact of initial application of IFRS 9:						-
- Additional impairment loss	-	-	(866,482)	-	-	(866,482)
- Transfer from statutory credit reserve	-	-	1,143,541	(1,143,541)	-	-
	7,368,906	670,678	(3,248,443)	1,709,113	(132,828)	6,367,426
Comprehensive income for the year	-	-		-		-
Profit for the year	-	-	7,008	-	-	7,008
Other comprehensive income:						-
- Fair value loss on financial instruments at FVOCI	-	-	-	-	(3,678)	(3,678)
- Revaluation surplus, net of tax	-	602,098	-	-	-	602,098
Transfer of excess depreciation	-	(15,528)	15,528	-	-	-
Deferred tax on excess depreciation	-	4,658	(4,658)	-	-	-
Transfer to statutory credit reserve	-	-	(1,624,211)	1,624,211	-	-
At 31 December 2018	7,368,906	1,261,906	(4,854,776)	3,333,324	(136,506)	6,972,854
At 1 January 2018	7,368,906	1,261,906	(4,854,776)	3,333,324	(136,506)	6,972,854
Impact of initial application of IFRS 16			(17,492)			(17,492)
	7,368,906	1,261,906	(4,872,268)	3,333,324	(136,506)	6,955,362
Comprehensive income for the year						
Profit for the year			150,070			150,070
Other comprehensive income:						-
- Fair value gain on financial instruments at FVOCI					218,662	218,662
Transfer of excess depreciation		(16,452)	16,452			-
Deferred tax on excess depreciation		4,936	(4,936)			-
Transfer to statutory credit reserve			(1,122,880)	1,122,880		-
At 30 June 2019	7,368,906	1,250,390	(5,833,561)	4,456,204	82,155	7,324,094

NATIONAL BANK OF KENYA LIMITED
BANK STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2019

	Share capital KSh' 000	Property revaluation surplus KSh' 000	Retained earnings KSh' 000	Statutory reserve KSh' 000	Fair value reserve KSh' 000	Total KSh' 000
At 1 January 2018	7,368,906	670,678	(3,711,873)	2,852,654	(132,828)	7,047,537
Impact of initial application of IFRS 9:						-
- Additional impairment loss	-	-	(866,482)	-	-	(866,482)
- Transfer from statutory credit reserve	-	-	1,143,541	(1,143,541)	-	-
	7,368,906	670,678	(3,434,814)	1,709,113	(132,828)	6,181,055
Comprehensive income for the year						
Profit for the year	-	-	156,139	-	-	156,139
Other comprehensive income:						-
- Fair value loss on financial instruments at FVOCI	-	-	-	-	(3,574)	(3,574)
- Revaluation surplus, net of tax	-	602,098	-	-	-	602,098
Transfer of excess depreciation	-	(15,528)	15,528	-	-	-
Deferred tax on excess depreciation	-	4,658	(4,658)	-	-	-
Transfer to statutory credit reserve	-	-	(1,624,211)	1,624,211	-	-
At 31 December 2018	7,368,906	1,261,906	(4,892,016)	3,333,324	(136,402)	6,935,718
At 1 January 2019						
Impact of initial application of IFRS 16	-	-	(17,492)	-	-	(17,492)
	7,368,906	1,261,906	(4,909,508)	3,333,324	(136,402)	6,918,226
Comprehensive income for the year						
Profit for the year	-	-	107,770	-	-	107,770
Other comprehensive income:						-
- Fair value gain on financial instruments at FVOCI	-	-	-	-	217,878	217,878
Transfer of excess depreciation	-	(16,452)	16,452	-	-	-
Deferred tax on excess depreciation	-	4,936	(4,936)	-	-	-
Transfer to statutory credit reserve	-	-	(1,122,880)	1,122,880	-	-
At 30 June 2019	7,368,906	1,250,390	(5,913,102)	4,456,204	81,476	7,243,874

NATIONAL BANK OF KENYA LIMITED
STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 JUNE 2019

	Group		Bank	
	2019 Sh'000	**2018 Sh'000**	**2019 Sh'000**	**2018 Sh'000**
Cash flows from operating activities				
Net cash generated from/(used in) operating activities	5,669,738	(1,439,852)	5,663,040	(1,455,070)
Income tax paid	(11,824)	(3,109)	(5,126)	(2,076)
Net cash generated (used in)/from operating activities	5,657,914	(1,442,961)	5,657,913	(1,457,146)
Cash flows from investing activities				
Purchase of property and equipment	(32,657)	(141,631)	(32,657)	(141,623)
Purchase of intangible assets	(46,844)	(630,115)	(46,844)	(615,938)
Proceeds from disposal of property	8,184	73,134	8,184	73,134
Net cash used in investing activities	(71,317)	(698,612)	(71,317)	(684,427)
Increase/(decrease) in cash and cash equivalents	**5,586,597**	**(2,141,573)**	**5,586,596**	**(2,141,573)**
Cash and cash equivalents at 1 January	**(4,221,345)**	**(2,079,772)**	**(4,221,345)**	**(2,079,772)**
Cash and cash equivalents at 30 June	**1,365,252**	**(4,221,345)**	**1,365,251**	**(4,221,345)**